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LINE 7

24-CIV-01127

E.T.I. INT'L. VS. KEVIN YIP, ET AL.

E.T.I. INT'L., A CALIFORNIA CORPORATION
KEVIN YIP

BIN LI
MATTHEW D. MARCA

MOTION FOR PROTECTIVE ORDER

TENTATIVE RULING:

Defendants Kevin Yip, Katy Yip, Sau Chun Ng, and Q.S. International Logistics, Inc.'s Motion for Protective Order is DENIED.

The court has already granted the motion to seal.

Plaintiff's objections to evidence are OVERRULED.

A leading case explains the requirements of plaintiff's identification of its trade secret:

The Uniform Trade Secrets Act (Civ.Code, § 3426, *et seq.*) creates a statutory cause of action for the misappropriation of a trade secret. (See 13 Witkin, *Summary of Cal. Law* (10th ed. 2005) Equity, § 86, p. 382, *et seq.*) It defines a trade secret as “information, including a formula, pattern, compilation, program, device, method, technique, or process, that: [¶] (1) Derives independent economic value, actual or potential, from not being generally known to the public or to other persons who can obtain economic value from its disclosure or use; and [¶] (2) Is the subject of efforts that are reasonable under the circumstances to maintain its secrecy.” (Civ.Code, § 3426.1, subd. (d).)

When adopting the Uniform Trade Secrets Act in 1984, the California Legislature also enacted a separate statutory provision, now found in section 2019.210 (part of the Civil Discovery Act), which requires, in relevant part, that “[i]n any action alleging the misappropriation of a trade secret under [the Uniform Trade Secrets Act], ... before commencing discovery relating to the trade secret, the party alleging the misappropriation shall *identify the trade secret with reasonable particularity*.” (Italics added; see *Computer Economics, Inc. v. Gartner Group Inc.* (1999) 50 F.Supp.2d 980, 984–986 (*Computer Economics*) [discussing legislative history of former section 2019, subd. (d)].) The statute was intended to codify *Diodes, Inc. v. Franzen* (1968) 260 Cal.App.2d 244, 251–252, 67 Cal.Rptr. 19 (*Diodes*), that before a trade secret defendant must submit to potentially costly litigation and discovery, “the complainant should describe the subject matter of the trade secret with sufficient particularity to separate it from matters of general knowledge in the trade or of special knowledge of those persons who are skilled in the trade, and to permit the defendant to ascertain at least the boundaries within which the secret lies.” (*Id.* at p. 253, 67 Cal.Rptr. 19.) The purpose of such a requirement, as expressed in *Diodes*,

was to “supply sufficient data ... to give both the court and the defendant reasonable notice of the issues which must be met at the time of trial and to provide reasonable guidance in ascertaining the scope of appropriate discovery.” (*Ibid.*)

It has since been said that section 2019.210 serves four interrelated goals: “ ‘First, it promotes well-investigated claims and dissuades the filing of meritless trade secret complaints. Second, it prevents plaintiffs from using the discovery process as a means to obtain the defendant's trade secrets. [Citations.] Third, the rule assists the court in framing the appropriate scope of discovery and in determining whether plaintiff's discovery requests fall within that scope. [Citations.] Fourth, it enables defendants to form complete and well-reasoned defenses, ensuring that they need not wait until the eve of trial to effectively defend against charges of trade secret misappropriation. [Citation.]’ ” (*Advanced Modular, supra*, 132 Cal.App.4th at pp. 833–834, 33 Cal.Rptr.3d 901, quoting *Computer Economics, supra*, 50 F.Supp.2d at p. 985.)

The leading case construing section 2019.210 is *Advanced Modular, supra*, 132 Cal.App.4th 826, 33 Cal.Rptr.3d 901, which involved alleged trade secrets in the field of “sputtering”—“the process of depositing a thin and even film of material onto a silicon wafer or other substrate.” (*Id.* at p. 830, 33 Cal.Rptr.3d 901.) The plaintiff manufactured sputtering equipment, and claimed that the defendant misappropriated eight trade secrets in manufacturing its own sputtering machine. (*Id.* at pp. 831, 836, 33 Cal.Rptr.3d 901.) The defendant contended that the plaintiff's trade secret designations were inadequate under section 2019.210, and produced expert witness declarations to show that the alleged trade secrets were “too vaguely described to distinguish them from information that is already known in the industry.” (*Id.* at p. 831, 33 Cal.Rptr.3d 901.) The plaintiff, in turn, produced expert declarations stating, “that the trade secrets [were] adequately described, that they involve [d] information not commonly known in the industry, and that [the defendant's] experts [were] being purposefully obtuse when they claim[ed] confusion over the nature or boundaries of the alleged trade secrets.” (*Ibid.*)

In construing section 2019.210, the court observed that “[t]he letter and spirit of section 2019.210 require the plaintiff, subject to an appropriate protective order, to identify or designate the trade secrets at issue with ‘ “sufficient particularity” ’ to limit the permissible scope of discovery by distinguishing the trade secrets ‘ “from matters of general knowledge in the trade or of special knowledge of those persons ... skilled in the trade.” ’ [Citations.]” (*Advanced Modular, supra*, 132 Cal.App.4th at p. 835, 33 Cal.Rptr.3d 901.) Analogizing a trade secret designation to a pleading, the court stressed that the designation should be liberally construed in favor of the trade secret claimant, and that doubts about its adequacy should be resolved in favor of permitting discovery to go forward. (*Id.* at pp. 835, 836–837, 33 Cal.Rptr.3d 901.)

Further, the court emphasized the flexibility of the statutory standard: “ ‘Reasonable particularity’ mandated by section 2019.210 does not mean that the party alleging misappropriation has to define every minute detail of its claimed trade secret at the outset of the litigation. Nor does it require a discovery referee or trial court to conduct a

miniature trial on the merits of a misappropriation claim before discovery may commence. Rather, it means that the plaintiff must make some showing that is reasonable, i.e., fair, proper, just and rational [citation], under all of the circumstances to identify its alleged trade secret in a manner that will allow the trial court to control the scope of subsequent discovery, protect all parties' proprietary information, and allow them a fair opportunity to prepare and present their best case or defense at a trial on the merits. [Citations.] [¶] The degree of 'particularity' that is 'reasonable' will differ, depending on the alleged trade secrets at issue in each case. Where, as here, the alleged trade secrets consist of incremental variations on, or advances in the state of the art in a highly specialized technical field, a more exacting level of particularity may be required to distinguish the alleged trade secrets from matters already known to persons skilled in that field. Nothing in section 2019.210 precludes the trial court from considering relevant evidence, including expert witness declarations, on the adequacy of a designation to describe the alleged trade secrets and distinguish them from prior art. But it remains true that, at this very preliminary stage of the litigation, the proponent of the alleged trade secret is not required, on pain of dismissal, to describe it with the greatest degree of particularity possible, or to reach such an exacting level of specificity that even its opponents are forced to agree the designation is adequate." (*Advanced Modular, supra*, 132 Cal.App.4th at pp. 835–836, 33 Cal.Rptr.3d 901.)

(*Brescia v. Angelin* (2009) 172 Cal.App.4th 133, 143–146 (*Brescia*).) Reasonable doubts about adequacy of the description are generally resolved in favor of allowing discovery. (*Id.* at p. 149.)

The court initially held a hearing on June 30, 2026, raised certain issues and requested supplemental briefing, which briefing has been provided.

Defendants concede that each of plaintiff's categories of documents can be trade secrets. (Defendants' Supplemental Brief in Support of Motion for Protective Order filed July 16, 2026 at p. 1). They argue, however, that the descriptions do not identify the non-public compilation that distinguishes the claimed trade secret from information that is readily known or attainable. (*Ibid.*)

Defendants' case law focuses on cases where the trade secret was of a technical nature. For example, *Brescia, supra*, 172 Cal.App.4th 133, 138-139, the alleged trade secret was proprietary information for a high-protein, low-carbohydrate pudding. Simply referring to 305 pages of attached documents was not sufficient because it obscured the trade secret (*id.* at pp. 142-143), but identification of the fifteen specific ingredients that constituted the pudding was sufficient. (*Id.* at pp. 149-150, 152.) Requiring that level of specificity of the specific ingredients claimed as trade secrets for a pudding makes sense because recipes for puddings abound and thus it is the "secret sauce" so to speak that makes the pudding a trade secret. (*Brescia* at p. 148 [referring to incremental variations or advances in the state of the art in a specialized technical field].)

In contrast, in this case, plaintiff claims its trade secrets are based on certain of its identified business documents. There is no specific ingredient that can be identified. The categories, for instance, of customer lists developed over time and profit and loss statements are the type of

categories of documents are sufficient to apprise defendants, especially Kevin Yip a former employee who worked at the company and worked with the documents, of the specific information plaintiff claims is a trade secret and for the court to control discovery. They are similar to the descriptions upheld by the Court of Appeal in *Whyte v. Schlage Lock Co.* (2002) 101 Cal.App.4th 1443, 1452-1454 (*Whyte*).

Defendants have already taken steps to attempt to refute plaintiff's claims by e.g. showing that defendant Kevin Yip had already worked for certain customers or that by looking at various websites, the information is disclosed. (See *Whyte, supra*, 101 Cal.App.4th at p. 1453 [defendant's president had no trouble understanding scope of putative trade secret information in deposition].) While defendants claim that their evidence shows that the claimed trade secrets are not trade secrets, the court considers this evidence as demonstrating that plaintiff's description is sufficient identification for the court to control the scope of subsequent discovery, protect all parties' proprietary information, and allow the parties to prepare and present their best case or defense at a trial on the merits. (*Brescia, supra*, 172 Cal.App.4th at pp. 148–149.)

Defendants contend that plaintiff did not keep the information confidential, but in the context of a small business, where there was a lot of trust, the court finds, at this juncture, a sufficient showing that the information was kept confidential.

Plaintiff's request for sanctions is denied. This is the type of motion where there was a reasonable disagreement that needed to be resolved by a judge.

There is a protective order in place filed September 12, 2025 that limits the dissemination of documents marked confidential or highly confidential.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Plaintiff shall prepare a written order consistent with the Court's ruling for the Court's signature, pursuant to California Rules of Court, Rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

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LINE 8

24-CIV-02856 NENAD MILANOVIC, ET AL. VS. ALICIA CHAN, ET AL.

NENAD MILANOVIC
ALICIA CHAN

MATTHEW D. HALEY
STEPHEN C. TOSCHI

DEMURRER TO CROSS-COMPLAINT AS TO CROSS-DEFENDANT COING, INC.

TENTATIVE RULING:

The demurrer is ordered off calendar. Cross-defendant did not provide proper notice of the hearing date (Cal. Rules of Court, rule 3.1110(b)(1)) and, therefore, the court must deny the demurrer because it lacks jurisdiction to hear it. (*Diaz v. Professional Community Management, Inc.* (2017) 16 Cal.App.5th 1190, 1204–1205 [“court lacks jurisdiction to rule on a motion that has not been properly noticed for hearing on the date in question.”].)

At the time of filing, the hearing date on the notice of motion was changed. To date, the court’s record does not reflect the filing or service of an amended notice. While cross-complainants filed an opposition brief, they did not substantively reply and thus did not waive the defect. (See *Reedy v. Bussell* (2007) 148 Cal.App.4th 1272, 1288; *Tate v. Superior Court* (1975) 45 Cal.App.3d 925, 929.)

If the tentative ruling is not contested, it shall become the order of the court without the need for a formal order.
